22. Income Tax Expense

Income tax expense is recognized based on management's best estimate of the weighted average annual income tax rate expected for the full financial year. The average annual tax rate expected as of June 30, 2020 to be effective for the year ended December 31, 2020 is 28.1%.

23. Earnings per Share

(A) Basic earnings per share

Basic earnings per share for the three and six month period ended June 30, 2020 and 2019 are calculated as follows:

(1) Ordinary shares

	June 30, 2020		June 30, 2019	
(In millions of Korean won, thousands of number of shares)	3 Month	6 Month	3 Month	6 Month
Profit for the period attributable to owners of the parent company	₩ 5,488,964	₩ 10,378,563	₩ 5,064,530	₩ 10,172,020
Profit for the period available for ordinary shares	4,824,012	9,121,269	4,450,996	8,939,748
Weighted-average number of ordinary shares outstanding	5,969,783	5,969,783	5,969,783	5,969,783
Basic earnings per ordinary share *(in Korean won)*	₩ 808	₩ 1,528	₩ 746	₩ 1,497

(2) Preference shares

	June 30, 2020		June 30, 2019	
(In millions of Korean won, thousands of number of shares)	3 Month	6 Month	3 Month	6 Month
Profit for the period attributable to owners of the parent company	₩ 5,488,964	₩ 10,378,563	₩ 5,064,530	₩ 10,172,020
Profit for the period available for preference shares	664,952	1,257,294	613,534	1,232,273
Weighted-average number of preference shares outstanding	822,887	822,887	822,887	822,887
Basic earnings per preference share *(in Korean won)*	₩ 808	₩ 1,528	₩ 746	₩ 1,497

(B) Diluted earnings per share

The Company does not have dilutive potential ordinary shares and as a result, basic earnings per share and diluted earnings per share are the same for the three and six month period ended June 30, 2020 and 2019.

24. Cash Generated from Operating Activities

Adjustments and changes in assets and liabilities arising from operating activities for the six month period ended June 30, 2020 and 2019 are as follows:

- Adjustments

(In millions of Korean won)		2020		2019
Adjustments:				
Income tax expense	₩	4,086,540	₩	3,868,181
Financial income		(2,121,411)		(2,267,491)
Financial expenses		1,452,492		1,357,477
Post-employment benefits		614,901		553,953
Depreciation		13,199,555		13,481,068
Amortization		1,624,379		505,176
Bad debt expenses (reversal)		44,885		42,026
Dividend income		(81,638)		(84,643)
Share of profit of associates and joint ventures		(146,866)		(142,173)
Gain on disposal of property, plant and equipment		(61,779)		(167,811)
Loss on disposal of property, plant and equipment		49,037		77,747
Loss on valuation of inventories		1,100,034		788,880
Gain on disposal of investments		(34,257)		(25,056)
Others		25,262		9,635
Total	₩	19,751,134	₩	17,996,969

- Changes in assets and liabilities arising from operating activities

(In millions of Korean won)		2020		2019
Changes in assets and liabilities :				
Decrease (increase) in trade receivables	₩	2,303,513	₩	747,983
Decrease (increase) in other receivables		543,346		(104,210)
Decrease (increase) in advance payments		(16,383)		(152,627)
Decrease (increase) in prepaid expenses		(101,621)		386,741
Decrease (increase) in inventories		(3,879,017)		(2,332,910)
Increase (decrease) in trade payables		417,181		(1,175,012)
Increase (decrease) in other payables		(324,107)		(1,321,087)
Increase (decrease) in advances received		(127,585)		60,562
Increase (decrease) in withholdings		(72,804)		(264,446)
Increase (decrease) in accrued expenses		(1,518,453)		(4,857,283)
Increase (decrease) in provisions		887,549		1,934,686
Payment of post-employment benefits		(339,398)		(177,055)
Others		(234,240)		(512,853)
Total	₩	(2,462,019)	₩	(7,767,511)

Repayment of the principal (financial activities) for the six month period ended June 30, 2020 and 2019, were ₩ 418,931 million and ₩ 316,286 million, respectively, while payment of interest expenses for lease liabilities (operating activities) amount to ₩ 56,477 million and ₩ 49,456 million, respectively.